

INTELLECTUAL PROPERTY RIGHTS

Comprehensive Exam Notes

Unit 4 | Patents | Trade Secrets | Trademarks

UNIT 1: INTRODUCTION TO INTELLECTUAL PROPERTY

1.1 What is Intellectual Property (IP)?

Intellectual property (IP) refers to creations of the mind — such as inventions, music, books, paintings, brand names, etc. These are intangible (non-monetary) assets with commercial value.

IP law grants owners exclusive rights over their creations so they can benefit financially and protect their work.

KEY LINK

Article 27 of the Universal Declaration of Human Rights: 'Everyone has the right to protection of moral and material interests resulting from any scientific, literary or artistic production of which he is the author.'

1.2 Types of Intellectual Property Rights (IPR)

Type of IPR	What it Covers	Duration
Copyright	Creative works: books, music, software, paintings	Life of author + 50-100 years (70 years in USA); anonymous works: 95 years from publication or 120 years from creation
Trademark	Symbols, words, logos distinguishing goods/services	10 years, renewable indefinitely
Patent	New inventions: machines, processes, compositions of matter	20 years from filing date
Industrial Design Rights	Aesthetic/ornamental visual design of objects	10-25 years
Trade Secrets	Formulas, processes, recipes, strategies giving competitive advantage	Indefinite (as long as secret is kept)

1.3 Salient Features of a Patent

Under TRIPS Agreement, the Indian Patent Act defines an 'invention' as: a new product or process involving an inventive step and capable of industrial application.

Three Core Requirements for Patentability:

- **NOVELTY (Must be 'New')**
 - Not already known/published before the date of patent filing
 - Must not be part of the 'state-of-the-art' (prior art) on the priority date
 - Priority date = date of first patent application filing
 - Example: English inventor denied patent for ballpoint pen because he published it before filing
- **INVENTIVE STEP (Non-Obvious)**
 - Must involve technical advance or economic significance over existing knowledge
 - Must NOT be obvious to a person skilled in that particular art
 - Must be beyond skill of a craftsman — must involve independent thought & ingenuity
 - Example: Tej vs Cook strainer case — Lahore High Court held Tej had novelty, utility & inventive skill
- **INDUSTRIAL APPLICATION (Utility)**
 - Invention must be capable of being made or used in industry
 - Industry includes any useful practical activity, not just manufacturing
 - Even incremental inventions can qualify if novel, inventive, and applicable

1.4 Patentable vs. Non-Patentable Inventions

Patentable (TRIPS Article 27):

- Products or processes in all fields of technology
- Micro-organisms and non-biological/micro-biological processes
- Plant varieties (by patents or sui-generis system)
- Genetically engineered organisms (e.g., Chakraborty case: engineered bacterium to degrade oil spills, US Supreme Court 1980)

NOT Patentable under IPA:

- Atomic energy-related inventions (Central Government's sole domain)
- Contrary to public order or morality (e.g., gambling machine)
- Frivolous or contrary to natural laws (e.g., perpetual motion machine)
- Mere scientific principle or abstract theory
- Mere discovery of new form/property of known substance without enhanced efficacy
- Discovery of living/non-living substances occurring in nature
- Substance by mere admixture of components
- Mere arrangement/rearrangement/duplication of known devices
- Traditional knowledge
- Mathematical/business method, computer program per se, algorithms
- Scheme/rule/method of mental act or playing a game
- Method of agriculture or horticulture
- Medical/surgical/curative/diagnostic treatment of humans or animals
- Plants and animals (other than micro-organisms), seeds, varieties
- Literary, dramatic, musical, artistic works (covered by copyright)
- Topography of integrated circuits

**SPECIAL
NOTE**

Computer programs in India are protected under Copyright Act 1957, NOT patents. HOWEVER, if a computer program enables a computer to operate in a NEW way to produce a required result, the programmed computer system IS patentable.

1.5 Procedure for Obtaining a Patent

Who Can Apply?

- True and first inventor of the invention
- Assignee of the inventor
- Legal representative of a deceased inventor
- For employees: invention made during employment is patentable by employee; ownership depends on employment contract

Filing Process:

- One application per invention, filed in triplicate with prescribed fees
- Filed at appropriate patent office based on applicant's place of business/residence
- Must include: applicant details, patent specifications, priority claim
- Application can be filed with provisional OR complete specification

Provisional vs. Complete Specification:

Provisional Specification	Complete Specification
Prescribes only nature of invention	Full & particular description of invention
Proof of concept stage — not fully developed	Must be filed within 1 year of provisional filing
Ensures priority date	Includes title, drawings, claims, abstract, declaration
If complete spec not filed in 1 year — application ABANDONED	Defines scope of patent protection

Complete Specification Must Contain:

- Title indicating subject-matter
- Relevant drawings
- Full description of the invention
- Details of operation or use and method of performance
- Disclosure of best method of performing the invention
- Claims defining the scope
- Abstract with technical information
- Declaration as to inventorship

Claims:

Claims appear at end of specification; define scope of patent/monopoly. Cover process, product, machine, or manufacture — NOT function/result or scientific explanation.

1.6 Publication, Examination & Opposition

Publication:

- Application not open to public for prescribed period, then published in Official Gazette
- If relevant for defence, Controller may prohibit publication (secrecy directions)
- Upon publication: applicant has same privileges as if patent granted, BUT cannot sue for infringement until patent is actually granted

Examination:

- Mandatory before grant; only taken up if applicant/interested person files request in prescribed period
- If no request within prescribed period — application treated as WITHDRAWN
- Examiner checks: adequacy of description, clarity of claims, novelty, prior art, prior claims, compliance with IPA
- Examiner's report is strictly confidential

Pre-Grant Opposition (anyone may oppose):

- Formed part of prior art / could be anticipated
- Specification doesn't clearly describe invention
- Applicant has not disclosed necessary info or furnished false info
- Convention application not made within 12 months of first filing
- Biological origin not disclosed or wrongly mentioned

Post-Grant Opposition (within 1 year of grant publication):

- Invention wrongfully obtained
- Anticipated by earlier patent/publication
- Publicly known/used in India before priority date
- Obvious — no inventive step
- Specification insufficient
- Subject matter not an invention within the Act
- False information filed
- Biological/geographical origin not disclosed or falsely disclosed
- Convention application not made in prescribed time
- Anticipated by oral/indigenous community knowledge in India or elsewhere

1.7 Grant, Rights & Limitations

Grant and Sealing:

- Patent date = date of filing of application
- Patent sealed with Patent Office seal; date of sealing entered in register
- Term of patent: 20 years from date of filing (requires annual renewal fee)

Rights of a Patentee:

- Right to EXPLOIT the patent (prevent third parties from making/using/selling/importing)
- Right to ASSIGN and LICENSE the patent (must be in writing and registered with Controller)
- Right to SURRENDER the patent (after notice to interested parties)
- Right to SUE for infringement (in District Court)

Types of Licenses:

License Type	Description
Voluntary License	Written agreement where patentee empowers another on agreed terms (no govt. role)
Statutory / Compulsory License	Granted by Controller/Central Govt — terms not dependent on patentee's will
Exclusive License	Grants exclusive right to ONE person, excluding all others INCLUDING the patentee

Compulsory Licenses (after 3 years from sealing):

- Reasonable requirements of public not satisfied
- Invention not available at reasonably affordable price
- Invention not worked in India

Special provision: national emergency, extreme urgency, or public non-commercial use.

Pharmaceutical: compulsory license for export to countries with no/insufficient manufacturing capacity for public health.

1.8 Transfer of Patent Rights

Transfer Type	Description
Legal Assignment	Transfer through registered agreement; assignee becomes registered proprietor
Equitable Assignment	Transfer through document (e.g., letter) but not via formal agreement; cannot be registered directly
Mortgage	Patent rights transferred to mortgagee to secure money; restored on repayment
Operation of Law	Transfer on death of patentee to legal representative; or govt. acquisition

1.9 Joint Inventors & Co-ownership

- Joint inventors = those making inventive contributions to different parts/claims
- Co-owners have EQUAL undivided share unless there is an agreement to the contrary
- Each co-owner can independently exercise patent rights without accounting to others

1.10 Biodiversity & Traditional Knowledge

Biodiversity:

- India is one of 12 mega-biodiversity countries; 2 hotspots: Western Ghats & Eastern Himalayas
- India has 4,000 varieties of rice, 167 species of crops, 320 species of wild crop relatives

Traditional Knowledge (TK) & IPR:

TK = people's awareness and life technologies evolved by local communities, passed from generation to generation (usually oral).

- TK provides useful leads for scientific research (e.g., pharmacological values)
- Problem: Western patent systems may not recognize oral knowledge as 'prior art'
- US recognizes oral disclosures as prior art ONLY if made in the US — so foreign TK can be patented in the US
- Example: Turmeric wound-healing patent granted in US; India challenged and won because CSIR produced published evidence it was common knowledge in India
- Example: RiceTec Basmati patent case — India challenged successfully

UNIT 2: TRADE SECRETS

2.1 Introduction

Trade secrets are competitive tools — innovative techniques and know-how — that cannot always be protected by patent law. They include formulas, processes, strategies, etc.

FAMOUS EXAMPLE

Coca-Cola's formula is one of the most successfully guarded trade secrets in history.

2.2 What is a Trade Secret?

A trade secret can be any formula, pattern, idea, process, physical device, or compilation of information that provides its owner a competitive advantage in the market.

Tests to Determine if Information is a Trade Secret:

- Extent to which information is known publicly or within the industry
- Amount of effort and money spent developing it
- Value to the trader and competitors
- Extent of measures taken to guard secrecy
- Ease/difficulty with which others could acquire it properly

Subjective Requirements:

- Trader must have considerable interest in keeping it secret
- Must show intention to treat information as secret
- Specific measures to maintain secrecy may be required

Objective Requirements (TRIPS Art. 39):

- Information must be SECRET — not generally known to industry/competitors
- Must have COMMERCIAL VALUE because it is secret
- Must be subject to REASONABLE STEPS by rightful holder to keep it secret

Examples of Trade Secret Subject Matter:

- Recipes, chemical formulas
- Survey methods, confidential data
- Computer programmes
- Manufacturing processes
- Marketing/financial strategies
- New inventions for which patent application not yet filed

2.3 Why Protect a Trade Secret?

- When other IPR protection cannot be used (e.g., ideas cannot be patented)
- Progress of developing a new product
- Customer list with critical comments

- Negative know-how (information about ineffectiveness of product/process)
- Any information that cannot be protected by other IPR tools without disclosure

2.4 Trade Secret vs. Patent

Criteria	Patent	Trade Secret
Registration	Requires registration	No registration required
Disclosure	Full disclosure required (public after grant)	Must be kept secret
Duration	20 years maximum	Indefinite (as long as secret)
Cost	Filing fees, maintenance fees, country-by-country	Cost of maintaining secrecy
Protection Strength	Strong — exclusive right to exclude all	Weak — varies country to country
Reverse Engineering	Protected even if reverse engineered	Not protected if reverse engineered
Coverage	Only technology fields	Any type of business information

When to Choose Trade Secret Protection:

- When the secret is NOT patentable
- When information can be kept secret for a very long time (ideally 20+ years)
- When the secret is not deemed worth a patent
- When the secret is a manufacturing PROCESS rather than a product (products are easier to reverse engineer)
- When a patent application is filed and you are waiting for the patent to be granted

2.5 Tools to Protect a Trade Secret

- Trade Secret Policy: Limit number of people who know the secret; ensure all aware it is confidential
- Employee Agreements: Confidentiality agreements within employment contracts
- Non-Disclosure Agreements (NDAs): With business partners when disclosing confidential info
- Adequate Documents: Confidentiality duty continues even after employee leaves (for limited period)
- Security Systems: Physical and digital measures to prevent unauthorized access

KEY RULE

Trade secrets are protected WITHOUT registration and WITHOUT any procedural formalities. They can be held indefinitely but are not protected against reverse engineering or independent discovery.

UNIT 3: TRADEMARKS

3.1 Introduction & Definition

Trademarks existed over 3,000 years ago (Indian craftsmen engraved signatures on creations sent to Iran). Today they are crucial tools for commercial identification.

Definition: 'A trademark is a mark capable of being represented graphically and capable of distinguishing the goods or services of one person from those of competitors.'

Two Main Characteristics:

- Must be DISTINCTIVE
- Must NOT be DECEPTIVE

3.2 Kinds/Types of Trademarks

Type	Description	Example
Logo	Pictorial representation — animals, birds, buildings	McDonald's double arches, Apple bitten apple
Letter	Identity from letter forms	IBM, GM, LG
Numerals	Numbers registered with evidence of use	555
Symbol	Visual depiction of manufacturer/company	BMW, Benz
Brand	Mark branded on goods/services	Cycle brand agarbathi
Label/Ticket	Composite mark — devices, words on paper	Coca-Cola label
Name	Word signifying a name/surname/abbreviation	Cadbury, Nokia
Colour	Colour or combination (if not descriptive of product)	Green for headphones
Sound	Musical notes sequence	NBC chimes, IBM e-commerce sound
Smell	Distinctive smell (debatable)	Rose scent on Sumitomo tyres

3.3 Different Forms of Trademarks

Collective Marks:

- Distinguishes goods/services of members of an Association from others
- Members are authorized users; use by members = use by proprietor
- Cannot be registered if likely to deceive/confuse the public
- Registrar may require mark to carry an indication that it is a collective mark

Certification Marks:

- Certify goods in respect of origin, material, quality, mode of manufacture, or accuracy
- Benefit consumers by guaranteeing certain characteristics
- Examples: ISI, Agmark, Woolmark, Sanforized
- Need NOT be distinctive for registration (unlike ordinary trademarks)
- Cannot be registered in name of a person who carries on trade in the certified goods

Well-Known Marks:

- Marks with worldwide renown recognized without reference to company location
- Examples: Sony, Versace, Louis Vuitton
- Protected against similar marks even for DISSIMILAR goods/services
- Factors: degree of knowledge/recognition, duration, extent, geographical area of use

3.4 Characteristics of a Good Trademark

- Distinctive (inherent or acquired through use)
- Short and easy to spell, pronounce, and remember (if a word)
- Preferably an invented/coined word (e.g., Zen, Avon, RIN, Flex)
- If a device — expressible in a word

3.5 Registrability of Trademarks

Registrable if it consists of at least ONE of:

- Name of a company/individual/firm in a particular or special manner
- Signature of the applicant
- One or more invented words
- Words having no direct reference to character or quality of goods
- Any other distinctive trademark
- Trademark that has acquired distinctiveness through prolonged use

3.6 Non-Registrable (Absolute Grounds for Refusal)

- Not distinctive, or marks that have become customary in the trade
- Marks designating kind, quality, quantity, purpose, geographical origin, etc.
- Identical/deceptively similar to existing registered trademark for same goods
- Use contrary to any law
- Scandalous or obscene matter
- Likely to hurt religious susceptibilities
- WHO-declared international non-proprietary name (or deceptively similar)

Shape Trademarks — Cannot be Registered if Shape:

- Results from the nature of goods themselves (e.g., apple shape for apples)
- Necessary to obtain a technical result
- Gives substantial value to the goods

Also Not Registrable:

- Commonly used name of a chemical element or compound
- Geographical name, surname, personal name, caste, tribe name

3.7 Procedure for Registration of Trademarks

Application:

- Filed with Registrar of Trademarks at office having territorial jurisdiction over applicant's principal place of business
- Single application for different classes of goods/services; fee payable per class
- Must include representation of the mark (5 additional representations required)
- Application can be accepted completely, conditionally, or rejected

Advertisement & Opposition:

- After acceptance, advertised in Trademarks Journal
- Any person may oppose within 3 months (extendable by 1 month) from advertisement date
- Registrar decides after hearing both parties

Time Period:

- Registration valid for 10 years, renewable indefinitely on payment of renewal fees
- Registration is prima facie evidence of validity of trademark

3.8 Deceptively Similar Trademarks

A trademark is deceptively similar if it so nearly resembles another mark as to be likely to deceive or cause confusion.

Factors to Consider:

- Nature of the marks
- Degree of resemblance
- Nature of goods for which they are used
- Similarity of nature, character and nature of goods
- Nature of potential class of consumers
- Visual and phonetic similarity

3.9 Rights of the Trademark Owner

- Exclusive right to use the trademark for registered goods/services
- Right to relief in case of infringement (same or similar goods/services)
- Forbids unauthorized use of registered mark or confusingly similar mark
- Once registered, same/similar mark cannot be registered for same/similar goods
- Cannot be used in business papers or advertising without authorization
- Import of goods bearing similar mark can be restricted
- Right to restrain use as trade name or part of business name

- Right to assign or transmit trademark

Exceptions to Rights:

- Rights of prior user: prior user's right is not affected by later registration
- Right to use one's own name in bona fide manner
- Concurrent use: mark in concurrent use in same jurisdiction is not affected by later registration

3.10 Infringement vs. Passing Off

Criteria	Infringement	Passing Off
Applies to	Registered trademarks	Unregistered trademarks/brand names
Remedy type	Statutory remedy	Common law remedy
What must be proved	Use of identical/confusingly similar mark on same/similar goods	Misrepresentation, goodwill, and actual damage
Jurisdiction	District Court/High Court where plaintiff resides or does business	District Court where defendant resides or cause of action arose
Reliefs	Injunction, damages, account of profits, destruction of infringing goods, legal costs	Same

Elements of a Passing Off Action:

- Misrepresentation
- Made by person in course of trade
- To prospective/ultimate customers of his goods or services
- Calculated to injure business or goodwill of another
- Causes actual damage (or likely to cause damage)

UNIT 4: KEY CASE STUDIES (Exam High Priority)

4.1 Patent Cases

Bayer Corporation vs. Union of India [162(2009) DLT 371]

- Facts: Bayer filed writ petition in Delhi HC asking that Cipla's marketing approval for 'SORANIB' be stopped, claiming it infringed Bayer's patent
- This was the FIRST attempt in India to link drug approval to patent infringement
- Bayer argued combined reading of Drugs and Cosmetics Act + Section 48 of Patent Act creates a 'Patent Linkage Mechanism'
- Delhi HC held: NO Drug-Patent Linkage in India — the two Acts have different objectives
- Market approval of a drug does NOT amount to patent infringement
- Patent infringement must be ESTABLISHED in court, not presumed
- Court also held: SORANIB cannot be called a 'spurious drug' as there was no deception or passing off
- Bayer was imposed a substantial cost of Rs. 6.75 Lakh to deter future such attempts

The Basmati Rice Patent (RiceTec Inc. — Patent No. 5663484)

- US granted patent to RiceTec Inc. on Basmati rice lines and grains (September 2, 1997)
- Patent covered novel rice lines, grains with Basmati-like characteristics, and an SI-based selection method
- India reacted immediately — inter-ministerial group mobilized including CSIR, ICAR, AIREA, APEDA
- India drew on Turmeric patent case success: Turmeric wound-healing patent revoked because CSIR proved it was 'common knowledge' in India for centuries
- Key challenge: US law accepts oral disclosures as prior art only if made in the US
- India challenged on grounds that plant varieties and grains already existed — cannot be patented
- Result: India WON the case

4.2 Trademark Cases

Pantaloon vs. Shoppers' Stop & Lifestyle (2008)

- Pantaloon advertised 10% extra discount to loyalty card holders of rival retailers (Shoppers' Stop, Lifestyle, Westside)
- Rivals accused Pantaloon of trademark violations and unfair business practices
- Delhi High Court issued injunction restraining Pantaloons from using rivals' names in ads

Amul Trademark Case — Gujarat High Court (Sep 2007)

- Kaira District Co-op Milk Producers Union (GCMMF) filed against 'Amul Chasmaghar' and 'Amul Cut Piece Stores'
- District Court, Anand (April 2007): clear infringement — restrained use of Amul trademark
- Gujarat HC upheld — Amul trademark protected; others cannot use it

Pharmaceutical Trademark Cases:

- AMOXIL vs. LYMOXYL (Beecham vs. S.R.K. Pharmaceuticals): IPAB held marks phonetically and deceptively similar; prohibited registration of LYMOXYL
- FORTWIN vs. OSTWIN (Ranbaxy vs. Anand Prasad): Both end in 'WIN'; IPAB held possibility of confusion not ruled out — appeal allowed
- PACITANE vs. PARKITANE (Wyeth vs. Sun Pharma): Similar goods (Parkinson's treatment); Court held adoption was not honest; injunction granted. In pharmaceutical cases, test is POSSIBILITY of confusion, not probability
- ARELON vs. ARTEELON (Hoechst vs. Artee Minerals): Only difference was letters 'TE'; IPAB affirmed rejection of registration

ChipsMore vs. ChipsPlus (Malaysia)

- British manufacturer had been selling 'ChipsMore' cookies in Malaysia for 20+ years
- Malaysian company started selling 'ChipsPlus' — similar marks, similar products, similar appearance (colours, fonts, composition)
- Court held 'ChipsPlus' was infringement: 'Chips' phonetically identical; 'More' and 'Plus' have similar meaning; formatting similar
- Passing off also proved: British company had substantial goodwill (20+ years) and appearance of ChipsPlus was strikingly similar — indicative of misrepresentation

QUICK REVISION: IMPORTANT NUMBERS & FACTS

Topic	Key Number/Fact
Copyright duration (India/most countries)	Life of author + 50-100 years (70 years in USA)
Copyright — anonymous works	95 years from first publication OR 120 years from creation
Patent term	20 years from date of filing (annual renewal required)
Trademark registration period	10 years, renewable indefinitely
Industrial Design Rights duration	10-25 years
Post-grant opposition window	Within 1 year of grant publication
Compulsory license eligibility	After 3 years from date of sealing of patent
Compulsory license revocation (non-working)	Application after 2 years from compulsory license date
Convention application filing deadline	Within 12 months of first application
Provisional spec — complete spec deadline	Complete spec must be filed within 1 year
Trademark opposition window	3 months from advertisement date (extendable by 1 month)
Trade secret protection duration	Indefinite — no registration required
India's biodiversity hotspots	Western Ghats & Eastern Himalayas
India's biodiversity rank	One of 12 mega-biodiversity countries worldwide
Rice varieties in India	4,000 varieties
Bayer Corporation penalty (Delhi HC)	Rs. 6.75 Lakh cost imposed
Basmati patent number (RiceTec)	US Patent No. 5663484, granted September 2, 1997
Chakraborty patent (US Supreme Court)	1980 — first living entity (engineered bacterium) given product status

ASSIGNMENT vs. LICENSE — KEY DIFFERENCE

Criteria	Assignment	License
Nature	Permanent transfer of interest	Temporary transfer of right
Reversibility	NOT revocable	Revocable
Scope	Transfer of ownership/interest	Transfer of right to use only
Must be in writing	Yes	Yes (oral licensing is NO licensing for trademarks)

Types	Legal, Equitable, Mortgage	Voluntary, Statutory/Compulsory, Exclusive
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All the best for your exams!